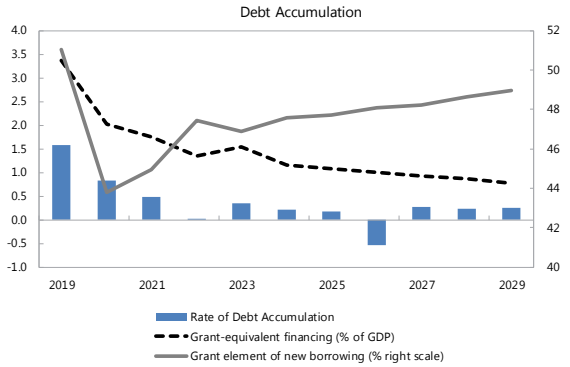
Table 1. Ethiopia: External Debt Sustainability Framework, Baseline Scenario, 2017/18–2038/39

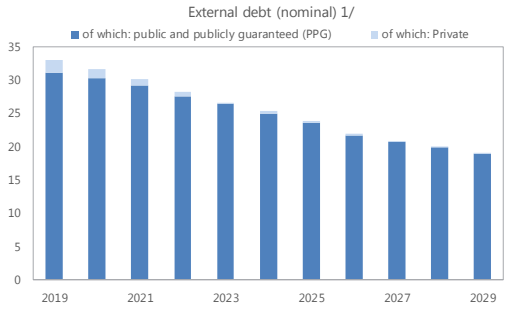
(In percent of GDP, unless otherwise indicated)

(In percent of GDP, unless otherwise indicated)

	Actual	Projections							Average 9/	
	2018	2019	2020	2021	2022	2023	2024	2029	2039	Historical	Projections
External debt (nominal) 1/	**34.1**	**33.0**	**31.6**	**30.2**	**28.2**	**26.5**	**25.3**	**19.0**	**11.9**	**25.5**	**25.5**
of which: public and publicly guaranteed (PPG)	**31.6**	**31.1**	**30.3**	**29.2**	**27.5**	**26.4**	**25.0**	**18.9**	**11.8**	**23.4**	**25.5**
Change in external debt	3.2	-1.0	-1.4	-1.4	-2.0	-1.6	-1.2	-0.9	-0.6		
Identified net debt-creating flows	**1.4**	**-1.0**	**-1.4**	**-1.5**	**-2.3**	**-2.4**	**-2.3**	**-1.0**	**-0.5**	**0.3**	**-1.8**
Non-interest current account deficit	**5.7**	**5.7**	**5.2**	**4.7**	**3.8**	**3.4**	**3.3**	**3.4**	**2.2**	**5.8**	**3.9**
Deficit in balance of goods and services	-32.1	-32.4	-31.9	-32.0	-31.9	-32.0	-32.0	-31.4	-32.9	**-39.9**	**-31.9**
Exports	8.6	8.6	8.9	9.2	9.7	10.2	10.5	11.0	13.5		
Imports	-23.5	-23.7	-23.0	-22.8	-22.3	-21.8	-21.5	-20.3	-19.4		
Net current transfers (negative = inflow)	-8.9	-9.6	-8.9	-9.0	-8.8	-8.2	-7.7	-5.8	-3.7	**-11.5**	**-7.9**
of which: official	-1.5	-2.4	-1.6	-1.6	-1.5	-1.5	-1.4	-1.3	-1.1		
Other current account flows (negative = net inflow)	46.7	47.7	46.1	45.6	44.5	43.6	42.9	40.6	38.8	**57.1**	**43.7**
Net FDI (negative = inflow)	**-4.5**	**-4.6**	**-4.9**	**-4.7**	**-4.5**	**-4.4**	**-4.2**	**-3.4**	**-2.3**	**-3.5**	**-4.3**
Endogenous debt dynamics 2/	**0.2**	**-2.1**	**-1.7**	**-1.5**	**-1.5**	**-1.4**	**-1.4**	**-1.0**	**-0.4**		
Contribution from nominal interest rate	0.7	0.5	0.6	0.5	0.5	0.4	0.4	0.2	0.1		
Contribution from real GDP growth	-2.3	-2.6	-2.3	-2.1	-2.0	-1.8	-1.7	-1.1	-0.5		
Contribution from price and exchange rate changes	1.8	...	...	...	...	...	...	...	...		
Residual 3/	**1.9**	**-0.1**	**-0.1**	**0.1**	**0.3**	**0.8**	**1.1**	**0.1**	**-0.2**	**1.8**	**0.3**
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators											
PV of PPG external debt-to-GDP ratio	**21.4**	**20.4**	**19.4**	**18.3**	**16.9**	**15.9**	**14.9**	**10.6**	**7.5**		
PV of PPG external debt-to-exports ratio	**247.9**	**236.2**	**218.2**	**198.6**	**174.9**	**156.3**	**142.2**	**96.3**	**55.7**		
PPG debt service-to-exports ratio	**24.4**	**16.5**	**22.0**	**21.0**	**18.7**	**16.9**	**13.4**	**7.5**	**4.6**		
PPG debt service-to-revenue ratio	**16.4**	**11.0**	**14.9**	**14.6**	**13.4**	**12.4**	**9.2**	**4.3**	**2.7**		
Gross external financing need (Million of U.S. dollars)	2945.6	2632.8	2573.3	2354.1	1469.1	1098.3	764.9	1681.5	2107.3		
Key macroeconomic assumptions											
Real GDP growth (in percent)	7.7	8.5	7.6	7.1	7.0	7.0	7.0	6.2	4.5	**9.8**	**7.4**
GDP deflator in US dollar terms (change in percent)	-5.6	3.6	1.6	1.5	1.1	1.4	1.4	1.1	1.1	**2.3**	**1.8**
Effective interest rate (percent) 4/	2.3	1.6	1.9	1.8	1.7	1.5	1.5	1.0	1.1	**2.1**	**1.7**
Growth of exports of G&S (US dollar terms, in percent)	13.2	12.7	12.6	12.6	13.6	14.3	11.4	8.6	9.8	**9.2**	**12.9**
Growth of imports of G&S (US dollar terms, in percent)	0.2	13.6	5.9	7.5	6.0	6.4	6.9	6.4	6.1	**9.4**	**7.7**
Grant element of new public sector borrowing (in percent)	...	51.0	43.8	44.9	47.4	46.9	47.6	49.0	31.4	**...**	**46.9**
Government revenues (excluding grants, in percent of GDP)	12.8	13.0	13.1	13.3	13.5	13.9	15.2	19.3	22.9	**13.8**	**13.7**
Aid flows (in Million of US dollars) 5/	689.5	4555.2	2896.0	2772.7	2322.9	3011.6	2341.5	2364.0	1607.6		
Grant-equivalent financing (in percent of GDP) 6/	...	3.4	2.0	1.8	1.3	1.5	1.2	0.8	0.4	**...**	**1.9**
Grant-equivalent financing (in percent of external financing) 6/	...	64.1	53.3	54.2	58.1	54.7	57.3	57.8	52.0	**...**	**57.0**
Nominal GDP (Million of US dollars)	81,927	92,124	100,714	109,460	118,471	128,570	139,549	202,541	386,159		
Nominal dollar GDP growth	1.6	12.4	9.3	8.7	8.2	8.5	8.5	7.4	5.6	**12.2**	**9.3**
Memorandum items:											
PV of external debt 7/	23.8	22.3	20.7	19.3	17.6	16.0	15.2	10.7	7.6		
In percent of exports	276.1	258.2	232.6	209.1	182.2	157.4	145.6	97.2	56.1		
Total external debt service-to-exports ratio 8/	28.3	19.8	24.8	23.4	20.8	18.5	14.4	7.5	4.6		
PV of PPG external debt (in Million of US dollars)	17502.0	18795.7	19552.6	20039.0	20043.9	20467.5	20739.9	21553.7	29057.9		
(PVt-PVt-1)/GDPt-1 (in percent)		1.6	0.8	0.5	0.0	0.4	0.2	0.3	0.1		
Non-interest current account deficit that stabilizes debt ratio	2.5	6.7	6.7	6.1	5.7	5.0	4.5	4.3	2.9		

Definition of external/domestic debt	Currency-based
Is there a material difference between the two criteria?	No





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Includes MLT private sector debt.

9/ Historical averages are generally derived over the past 10 years, subject to data availability. Projections averages is the first year of projection and the next 10 years.

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Table 2. Ethiopia: Public Sector Debt Sustainability Framework, Baseline Scenario, 2017/18–2038/39

(In percent of GDP, unless otherwise indicated)

	Actual	Projections								Average 5/	
	2018	2019	2020	2021	2022	2023	2024	2029	2039	Historical	Projections
Public sector debt 1/	**58.5**	**54.0**	**51.5**	**49.2**	**47.2**	**45.2**	**43.0**	**30.9**	**12.5**	**46.1**	**43.8**
of which: external debt	**31.6**	**31.1**	**30.3**	**29.2**	**27.5**	**26.4**	**25.0**	**18.9**	**11.8**	**23.4**	**25.5**
Change in public sector debt	5.6	-4.6	-2.5	-2.2	-2.0	-2.1	-2.1	-2.5	-0.7		
Identified debt-creating flows	**0.1**	**-4.7**	**-2.6**	**-2.5**	**-2.2**	**-2.2**	**-2.2**	**-2.5**	**-1.4**	**-4.0**	**-2.6**
Primary deficit	**3.2**	**2.5**	**2.4**	**2.2**	**2.0**	**1.8**	**1.6**	**-0.5**	**-0.8**	**1.7**	**1.4**
Revenue and grants	13.7	14.4	13.7	13.8	14.0	14.3	15.5	19.5	23.1	**15.6**	**15.6**
of which: grants	0.8	1.4	0.6	0.5	0.5	0.4	0.4	0.2	0.2		
Primary (noninterest) expenditure	16.9	17.0	16.2	16.0	16.0	16.1	17.1	19.0	22.3	**17.3**	**17.0**
Automatic debt dynamics	**-2.7**	**-7.2**	**-5.0**	**-4.7**	**-4.2**	**-4.0**	**-3.8**	**-2.0**	**-0.6**		
Contribution from interest rate/growth differential	-5.0	-6.7	-5.0	-4.8	-4.4	-4.2	-4.0	-2.1	-0.7		
of which: contribution from average real interest rate	-1.2	-2.1	-1.2	-1.4	-1.2	-1.1	-1.0	-0.2	-0.2		
of which: contribution from real GDP growth	-3.8	-4.6	-3.8	-3.4	-3.2	-3.1	-3.0	-2.0	-0.6		
Contribution from real exchange rate depreciation	2.3	-0.5	0.1	0.1	0.2	0.1	0.1	...	...		
Other identified debt-creating flows	**-0.5**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**-0.2**	**0.0**
Privatization receipts (negative)	-0.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**5.6**	**0.1**	**0.1**	**0.2**	**0.2**	**0.1**	**0.1**	**0.0**	**0.7**	**6.0**	**0.1**
Sustainability indicators											
PV of public debt-to-GDP ratio	**49.2**	**44.2**	**41.4**	**39.2**	**37.4**	**35.4**	**33.6**	**23.1**	**8.5**		
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
PV of public debt-to-revenue and grants ratio	**360.5**	**306.3**	**301.5**	**283.2**	**268.1**	**247.4**	**216.4**	**118.3**	**36.8**		
PV of public debt-to-revenue ratio	**384.1**	**339.4**	**316.2**	**294.9**	**277.4**	**254.9**	**221.7**	**119.7**	**37.2**		
Debt service-to-revenue and grants ratio 2/	**26.2**	**72.8**	**73.1**	**68.4**	**61.3**	**55.2**	**46.0**	**22.5**	**3.1**		
Debt service-to-revenue ratio 2/	**27.9**	**80.7**	**76.7**	**71.3**	**63.5**	**56.9**	**47.2**	**22.7**	**3.2**		
Gross financing need 3/	6.8	13.0	12.5	11.7	10.6	9.7	8.7	3.9	-0.1		
Key macroeconomic and fiscal assumptions											
Real GDP growth (in percent)	7.7	8.5	7.6	7.1	7.0	7.0	7.0	6.2	4.5	**9.8**	**7.0**
Average nominal interest rate on public debt (in percent)	2.7	1.7	2.1	2.1	2.1	2.3	2.5	3.9	1.2	**3.0**	**2.6**
Average nominal interest rate on forex debt (in percent)	2.5	1.7	2.0	1.9	1.7	1.6	1.5	1.0	1.1	**2.2**	**1.5**
Average real interest rate (in percent)	-2.5	-3.9	-2.5	-2.9	-2.5	-2.4	-2.3	-0.6	-1.4	**-4.0**	**-2.2**
Average real interest rate on foreign-currency debt (in percent)	-1.2	-1.8	-1.8	-2.0	-1.9	-1.9	-2.0	-2.0	-2.0	**-1.6**	**-1.9**
Average real interest rate on domestic debt (in percent)	-6.7	-8.3	-6.0	-5.8	-5.1	-4.8	-4.4	-0.2	-5.1	**-7.9**	**-4.2**
Real exchange rate depreciation (in percent, + indicates depreciation)	8.8	-1.7	...	...	...	...	...	...	...	**0.4**	**...**
Inflation rate (GDP deflator, in percent)	9.9	10.9	8.7	8.6	8.2	8.5	8.5	8.2	8.2	**13.2**	**8.7**
Growth of real primary spending (deflated by GDP deflator, in percent)	2.0	9.2	2.5	6.2	6.8	7.9	13.6	7.1	8.6	**2.7**	**8.3**
Grant element of new external borrowing (in percent)	...	51.0	43.8	44.9	47.4	46.9	47.6	49.0	31.4	**...**	**47.4**
Primary deficit that stabilizes the debt-to-GDP ratio 4/	-2.4	7.1	4.9	4.4	4.0	3.9	3.7	2.0	-0.1	**0.2**	**3.9**

Sources: Country authorities; and staff estimates and projections.
1/ The entire public sector, including SOEs. Definition of external debt is Currency-based.
2/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.
3/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.
4/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.
5/ Historical averages are generally derived over the past 10 years, subject to data availability. Projections averages is the first year of projection and the next 10 years.

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